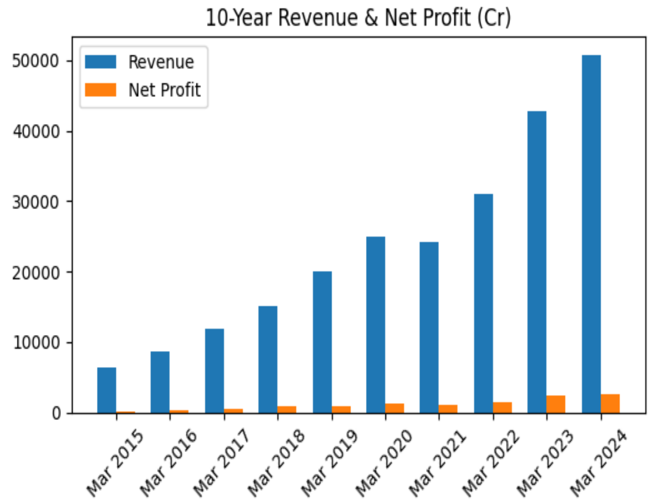
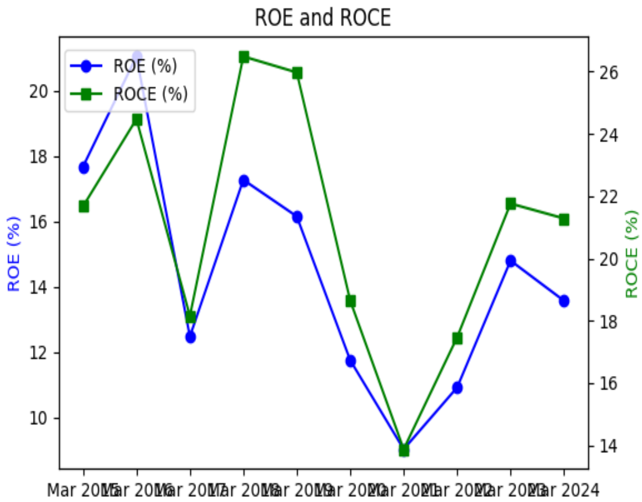
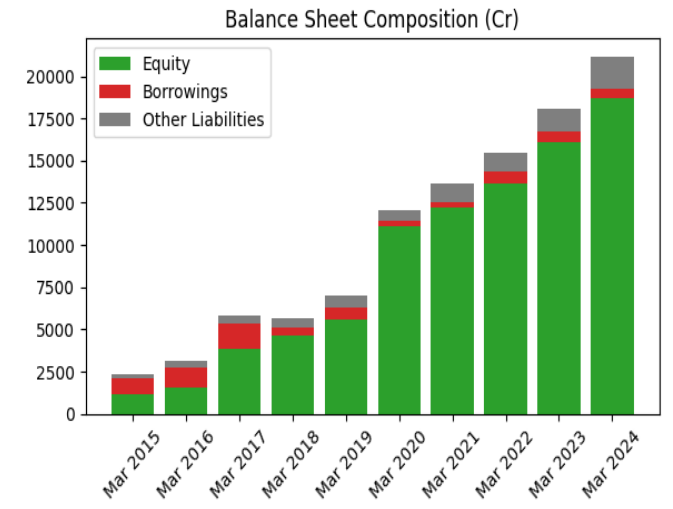
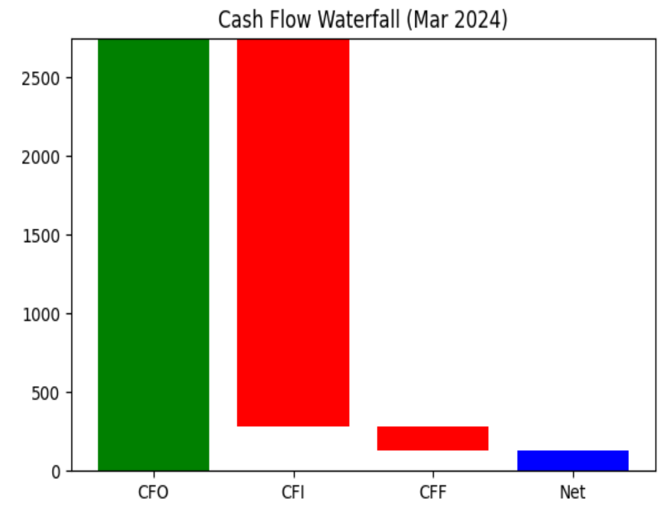
Avenue Supermarts Ltd (DMART)

Revenue ■57,213 Cr	**Net Profit** ■2,720 Cr	**ROE** 13.6%
ROCE 21.3%	**CFO Quality** High Quality	**Allocation** Shareholder Returns









Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Macro-economic headwinds may pose challenges to near-term growth

Capital Allocation Pattern: Shareholder Returns